

LexAI — Contract Risk Intelligence Report

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Overall Risk Score

64/100

MEDIUM RISK

Overall Risk Level: MEDIUM RISK (Score: 64/100). This contract has notable risks. Negotiate the flagged clauses before signing. Found 1 high-risk clause(s) burdening you and 2 missing standard protection(s). Contract type detected: NDA.

Red Flags

- Termination for Convenience: The contract can be ended without reason – check whether this applies to them, you, or both.

Per-Party Risk Dashboard

	Party A (You)	Party B (Counterparty)
Risk Score	64/100 (MED)	0/100 (LOW)
High-Risk Clauses	1	0
Medium-Risk Clauses	1	0
Favorable Clauses	0	0

Identified Risk Clauses

[HIGH] Termination for Convenience — Burden: Both

Plain language: The contract can be ended without reason – check whether this applies to them, you, or both.

"This Agreement shall be effective as of the Effective Date and shall terminate on the delivery of written notice of termination from either Party; provided, however, that the oblig..."

Recommendation: Ensure termination for convenience is mutual, with adequate notice period (30–90 days).

[MEDIUM] Governing Law — Burden: Unclear

Plain language: Disputes will be resolved under the laws of a specific state or country.

"This Agreement shall be governed and construed in accordance with the laws of India..."

Recommendation: For Indian startups, prefer Indian governing law (Maharashtra or Karnataka courts are common).

[LOW] Confidentiality — Burden: Both

Plain language: Both parties agree to keep each other's sensitive information private.

"Confidential Information" shall mean and include all non-public information, written or oral, disclosed, directly or indirectly, through any means of communication or observation ..."

Recommendation: Standard clause – verify it covers your key business information and has reasonable duration.

[LOW] Limitation of Liability — Burden: Receiving Party

Plain language: Financial damages are limited to a defined maximum – protects both parties.

"The fact that Confidential Information is disclosed to the Receiving Party shall not be deemed to constitute any representation, warranty or inducement by the Disclosing Party of a..."

Recommendation: Ensure the cap is mutual and set at a reasonable level (1–2x annual contract value).

[LOW] Warranty — Burden: Both

Plain language: The vendor guarantees their product/service will work as described for a set period.

"The individuals executing this Agreement represent and warrant that they are empowered and duly authorized execute this Agreement on behalf of the parties they represent. Each Part..."

Recommendation: Standard clause “ verify coverage period aligns with your business needs.

[LOW] Dispute Resolution — Burden: Unclear

Plain language: How disputes are settled if you disagree.

"The competent courts at [] India shall have the sole and exclusive jurisdiction over any dispute that arises in relation to this Agreement..."

Recommendation: For Indian contracts, prefer arbitration under the Arbitration and Conciliation Act, 1996.

■ Missing Standard Protections

Clause	Severity	Why It Matters
Dispute Resolution / Arbitration	HIGH	While the contract specifies exclusive court jurisdiction, it lacks an arbitration clause. Arbitration is a common and often more efficient alternative dispute resolution mechanism for commercial disputes, offering privacy and potentially faster resolution than traditional litigation.
Termination Notice Period	HIGH	The contract allows termination by 'written notice' but does not specify a notice period. This can lead to abrupt termination, causing disruption and potential disputes regarding outstanding obligations or transition periods. A defined notice period ensures an orderly wind-down of the relationship.

■ This report is generated by LexAI for informational purposes only and does not constitute legal advice. Consult a qualified lawyer before signing any contract. Risk classification is grounded in the CUAD legal taxonomy (NeurIPS 2021) and Indian commercial law context.